Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

Nifty 100 Financial Intelligence Tearsheet - Page 1

Company Overview

Cholamandalam Investment & Finance Company is one of the premier diversified non-banking finance companies in India, engaged in providing vehicle finance, home loans and Loan against property.[1]

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	17.8%	17.5%	6.86	21.2	0.12	-38538.0
2023	20.7%	18.6%	6.79	16.6	0.11	-29253.0
2022	21.2%	18.3%	5.88	35.2	0.12	-3931.0
2021	15.9%	15.8%	6.64	52.4	0.13	-10594.0
2020	12.1%	12.9%	6.71	nan	0.14	-2129.0
2019	16.8%	19.3%	8.15	1659.0	0.12	-9328.0
2018	16.5%	17.9%	7.48	nan	0.13	-7986.0
2017	15.3%	16.7%	5.60	448.7	0.15	-1690.0
2016	13.6%	15.7%	6.14	643.5	0.15	-2946.0
2015	12.0%	16.6%	7.46	nan	0.16	-2304.0

Cholamandalam Investment & Finance Company Ltd (CHOLAFIN) - Page 2

Qualitative Investment Insights

Strengths (Pros):

• Revenue growing at above 15% CAGR over 5 years (21.9%) reflects strong business momentum

• Operating profit margin above 25% indicates strong pricing power and cost discipline

• Net profit compounding at above 20% over 5 years creates significant shareholder value

Risks & Concerns (Cons):

• Free cash flow negative for 3 consecutive years raises concern about cash generation quality

• Operating margins declining for 3 consecutive years suggest pricing or cost pressure

• Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk